



UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS  
General Certificate of Education Ordinary Level

**ECONOMICS**

2281/12

Paper 1 Multiple Choice

October/November 2013

1 hour

Additional Materials: Multiple Choice Answer Sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)



**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved with reasons

*[Handwritten signature]*

Zaralek  
mushkay

This document consists of **12** printed pages.



- 1 Sam wrote a list of how he would prefer to spend his Saturday afternoon.

|               |                                       |
|---------------|---------------------------------------|
| first choice  | go to a cricket match $\alpha$        |
| second choice | watch the annual town parade $\alpha$ |
| third choice  | go to the cinema                      |
| fourth choice | visit relatives                       |

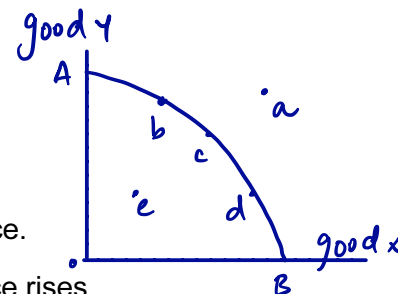
$\rightarrow$  cancel  
 $\rightarrow$  choice!

Unfortunately a thunderstorm caused the cricket match and the town parade to be cancelled.  
 Sam went to the cinema.

What was the opportunity cost of going to the cinema?

- A going to the cricket match  
 B watching the town parade  
☒ C visiting his relatives  
 D losing his Saturday free time

Opportunity cost, is the  
 real cost of choosing one thing  
 and not another!  
 next best alternative  
 forgone!



- 2 How does a production possibility curve show that scarcity exists? Point 'a'

- A It shows that a rise in demand for one of the products increases its price.  
 B It shows that as more resources are used to produce a product, its price rises.  
 C It shows that at any point outside the production possibility curve an economy is wasting resources.  
☒ D It shows that there is a limit to the quantity of products that can be produced with existing resources and technology. unattainable point  
potential

- 3 In which case is it possible to set the level of reward before production takes place for the first factor of production but not for the second?

|                                       | first factor | second factor |
|---------------------------------------|--------------|---------------|
| A                                     | capital      | land          |
| B                                     | enterprise   | labour        |
| C                                     | labour       | capital       |
| <input checked="" type="checkbox"/> D | land         | enterprise    |

Rent can  
 be planned before  
 production takes  
 place  $\Downarrow$   
 fixed cost

Profits are not  
 possible to set  
 before production  
 takes place as  
 it can vary!

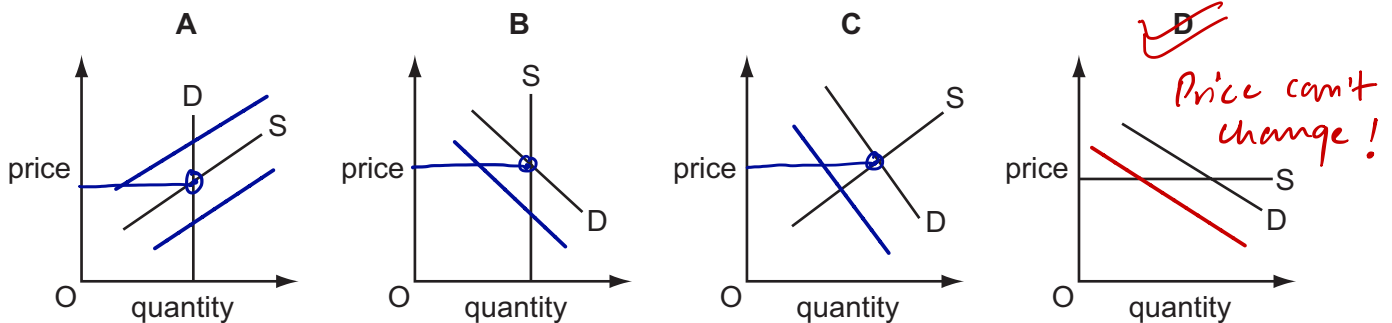
- 4 In the 2016 Olympics in Brazil, the opening ceremony will take place in the Maracanã which can seat 82 000 spectators. It is expected that all tickets for the ceremony will be sold quickly, leaving many people dissatisfied.

What can be concluded from this?

- A Price elasticity of demand for tickets will be perfectly elastic. (No) *perfect substitutes*
- ☒ B Some people will be able to resell their tickets at a higher price than they paid for them. *as many didn't get the seat*
- C The Olympic authority will make more tickets available for sale. (No)
- D This will be an example of market failure. (No)

- 5 The diagrams show different conditions of demand and supply for a product.

In which diagram would market price remain unchanged if consumers' incomes fell?



- 6 In 2011, a company selling milk in glass bottles replaced them with new plastic bottles. When they were introduced, the equilibrium quantity on the market fell. →  $S \downarrow$  or  $D \downarrow$

What could be a reason for this fall?

- A Consumers preferred the new bottle because it was lighter to carry. Demand ↑ (Wrong)
- ☒ B Milk from the farms used to fill the bottle cost more. Cost ↑, Supply ↓, Price ↑, Qty ↓
- C The bottle was cheaper than the existing glass bottle to produce.  $P \downarrow$ , Qty ↑ (Wrong)
- D The new bottle was introduced with a successful advertising campaign. Demand ↑ (Wrong)

- 7 Which change would make the supply of a product more price elastic? [Price elasticity of supply]

- A an increase in the number of close substitutes for the product (PED)
- B an increase in the proportion of firms working at full capacity [Inelastic Supply]
- ☒ C a reduction in the time taken to make the product More responsive, Elastic Supply
- D a reduction in the time that the product can be stored [Inelastic Supply]

- 8 Developers want to increase the size of a major retail shopping area in a city. It is thought that the proposal would create hundreds of jobs, be profitable for the shops but cause major congestion.

What economic concepts are involved in this statement?

- ☒ A congestion external cost and sales, revenue private benefit
- B income distribution and inelastic demand
- C private investment and a decrease in supply
- D social benefit and perfect competition

\* External cost is the cost to the third party for which no appropriate compensation is paid.

\* Private benefit is benefit received by consumers and producers when they produce and consume goods and services.

- 9 Which will encourage domestic producers to grow more maize?

- ☒ A granting subsidies to maize producers Supply  $\uparrow$  (cost  $\downarrow$ )
- B increasing the sales tax on maize cost  $\uparrow$ , Supply  $\downarrow$
- C removing guaranteed minimum prices for maize Prices  $\downarrow$ , Qty supplied  $\downarrow$
- D removing quotas on imported maize Demand for domestic maize  $\downarrow$

- 10 There is a sales tax (VAT) on a good which has a price elasticity of demand greater than 1 ( $>1$ ).

Which of the following correctly matches a change in sales tax to the change in total expenditure on the good?

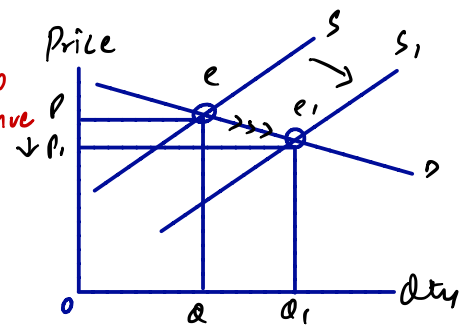
|                                       | sales tax       | total expenditure on the good |
|---------------------------------------|-----------------|-------------------------------|
| <input checked="" type="checkbox"/> A | <u>decrease</u> | <u>increases</u>              |
| B                                     | decrease        | remains the same              |
| C                                     | increase        | increases                     |
| D                                     | increase        | remains the same              |

→ Equal to Total revenue

→ Unitary

→ Inelastic

→ Unitary



$$TR/TE = \text{old} \rightarrow OPeQ$$

$$TR/TE = \text{New} \rightarrow OP_1e_1Q_1$$

- 11 What will be the most likely effect of a fall in interest rates on saving and borrowing?

$$\frac{TR}{TE} \uparrow$$

|                                       | saving   | borrowing |
|---------------------------------------|----------|-----------|
| A                                     | decrease | decrease  |
| <input checked="" type="checkbox"/> B | decrease | increase  |
| C                                     | increase | decrease  |
| D                                     | increase | increase  |

$\downarrow$

return on saving  $\downarrow$  cost of borrowing  $\downarrow$

save  $\downarrow$  Borrow  $\uparrow$

- 12 A worker's choice of occupation can be influenced by wage and non-wage factors.

What is a non-wage factor when choosing to work in a factory?

- A bonuses paid for increases in productivity
  - B changes in hourly rates for items produced
  - C financial rewards for length of service
  - ☒ D opportunities for promotion and advancement (No wage factor)
- } wage factor!

- 13 When will a trade union find it easier to achieve higher wages for its members?

- ☒ A when consumers demand more of the product made [Demand ↑, production ↑, Demand for labour ↑]
- B when the company has a decrease in profits [Profits ↓, to reduce cost, Demand for labour ↓]
- C when the cost of raw materials increases [cost ↑, profits ↓, Demand for labour ↓]
- D when unemployment increases [surplus of workers, wages ↓]

- 14 What might be a direct benefit to the individual worker of a specialised job?

- A Specialisation enables a better quality product to be produced. →
  - B Specialisation enables the firm to introduce more 'machinery'. →
  - ☒ C Specialisation enables the worker to become more skilled. →
  - D Specialisation makes better use of resources. →
- } No Direct Benefit to individual, rather it benefits firm

- 15 The table shows the change in real incomes for a number of occupations between 1978 and 2008.

| occupation              | change in real income % |
|-------------------------|-------------------------|
| doctors                 | 153 ✓                   |
| lawyers                 | 114 ✓                   |
| accountants             | 60 ✓                    |
| bricklayers             | 37                      |
| bus and coach drivers   | 19                      |
| fork-lift truck drivers | -5                      |

Highest % increase "Professionals"

What can be concluded from the table?

- A All occupations were better off in 2008 than in 1978. (Not all, fork-lift truck drivers)
- B Fork-lift truck drivers earned the lowest wages in 2008. (Data in percentage)
- C Doctors have earned more than lawyers since 1978. (Data in percentage)
- ☒ D Professionals received higher percentage increases in income than manual workers. (Yes!)
- 16 Which function of money enables people to compare the worth of different products?

A medium of exchange

B standard for deferred payments

C store of value

☒ D unit of account

\* A unit of account in economics is a nominal monetary unit of measure or currency used to represent the real value (or cost) of any economic item i.e. goods, services, assets, liabilities, income, expenses.

- 17 What is a reason why firms making similar products sometimes locate near each other?

A competition is decreased (No)

☒ B there are external economies of scale (skilled worker etc)

C there are internal economies of scale (No)

D transport costs may be eliminated (No)

Medium of exchange :- It is an intermediary instrument used to facilitate the sale, purchase or trade of goods between parties.

A standard of deferred payment is the accepted way, in a given market, to settle a debt

A store of value is the function of an asset that can be saved, retrieved and exchanged at a later time

$$TC = FC + VC$$

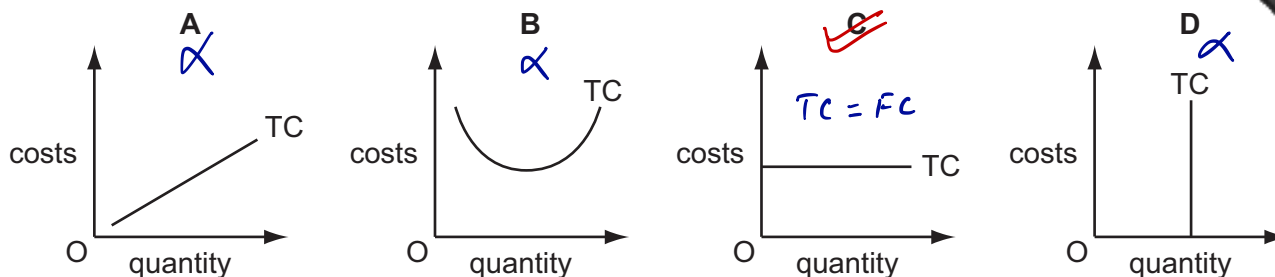
$$TC = FC + 0$$

$$TC = FC$$

7

18 The diagrams represent total cost curves (TC) of four firms in the short run.

Which firm has only fixed costs?



19 To achieve horizontal integration a record company producing compact discs (CDs) could merge with another firm.

What would this firm most likely be doing?

- A owning shops selling CDs (vertical)
- ☒ B producing CDs (same stage)
- C producing CD players (Diversify)
- D producing machinery used in the making of CDs (Diversify)

20 What is a difference between a monopoly and a perfectly competitive firm?

- A A monopoly always has economies of scale and a perfectly competitive firm has diseconomies of scale. (No)
- B A monopoly always operates in the public sector and a perfectly competitive firm always operates in the private sector. (No)
- ☒ C A monopoly is a price maker and a perfectly competitive firm is a price taker. (Yes)
- D A monopoly seeks to maximise profits and a perfectly competitive firm seeks to maximise output. (No)

21 An entrepreneur started a small business making candles. In the first month 1000 candles were made. The costs were

|               | \$   |
|---------------|------|
| raw materials | 1000 |
| packaging     | 800  |
| insurance     | 100  |
| depreciation  | 100  |
| rent          | 500  |

Variable cost  
Variable cost  
Fixed cost  
Fixed cost  
Fixed cost

$$\text{Average variable cost} = \frac{\text{Variable cost}}{\text{Qty}} = \frac{1800}{1000}$$

$$\text{Variable cost} = 1000 + 800 = 1800$$

$$\text{Qty} = 1000$$

$$\text{Average variable cost} = \$1.80$$

What were the average variable costs for the month?

- A \$1.00
- ☒ B \$1.80
- C \$1.90
- D \$2.00

- 22 In a competitive industry, a firm's aim is to become a monopoly supplier.

Which policy is it most likely to use to eliminate competition?

- ☒ A adopt price reductions and advertising [ $P \downarrow, Q \uparrow, TR \uparrow$ ] [Advertising  $\uparrow, D \uparrow$ ]  
 B avoid diseconomies of scale  $cost \downarrow$   
 C maximise output and profit For profit, High price will be set  
 D reduce financial barriers to entry (More setups of Business)  
 Progressive (Direct) Regressive (indirect)

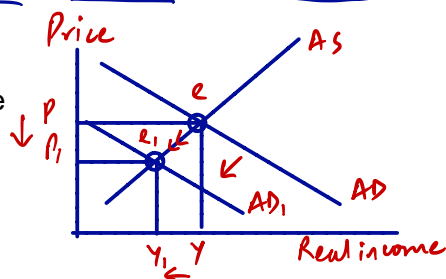
- 23 A country's only income tax rate is 50% on all incomes above \$10 000 and its sales tax (VAT) is 20% on all spending.

What type of taxes are these?

|                                       | income tax                           | sales tax (VAT)                       |
|---------------------------------------|--------------------------------------|---------------------------------------|
| <input checked="" type="checkbox"/> A | <u>progressive</u> and <u>direct</u> | <u>regressive</u> and <u>indirect</u> |
| B                                     | progressive and indirect             | regressive and direct                 |
| C                                     | proportional and direct              | proportional and indirect             |
| D                                     | proportional and indirect            | proportional and direct               |

- 24 Which aim of government policy is most likely to be achieved by an increase in interest rates?

- A economic growth  
 B greater equality of income  
 C full employment  
☒ D price stability



$r \uparrow$   
 save  $\uparrow$   
 spend  $\downarrow$   
 $C \downarrow$   
 $AD \downarrow$   
 price stability

- 25 Why might a government encourage a monopoly?

- A It can have high average costs. (Dis-advantage)  $cost \uparrow, prices \uparrow$   
☒ B It can compete against foreign firms. (Large firm,  $cost \downarrow$ , large scale)  
 C It can prevent innovation. (Dis-advantage) X-inefficiency  
 D It can make excessive profits. (Dis-advantage) High prices, inelastic demand

- 26 Which combination of government policies is most likely to be successful at reducing unemployment?

- A budgeting for a surplus and lowering interest rates  
 B budgeting for a deficit and raising interest rates  
 C budgeting for a surplus and raising interest rates  
☒ D budgeting for a deficit and lowering interest rates

27 A government wishes to raise the general standard of living in its country.

In the short run, which policy would be the most likely to achieve this aim?

- A preventing the merger of two companies into a monopoly
- B raising taxation to repay government debts
- ☒ C reducing the rate of income tax while maintaining the services it provides *Tax ↓, Disposable income ↑, C ↑, choice of goods ↑*
- D spending more on roads in rural areas rather than in city centres

28 Government advisers have suggested the following policies to reduce youth unemployment.

Which would not *Government Expenditure* increase public expenditure?

- ☒ A a cut in the minimum wage paid to young people *Minimum wage ↓, cost ↓, unemployment ↑*
- B a rise in the school-leaving age *More spending on Education*
- C a subsidy to employers to recruit young people *Government Expenditure*
- D national military service for all *Government Expenditure*

29 Which would best indicate the start of an economic recession? *(AD ↓) (output ↓) (Deflation)*

- A falling interest rates *R ↓, AD ↑, growth*
- B fluctuating levels of employment *(changes)*
- ☒ C negative growth of GDP *Yes!*
- D steadily increasing price levels *(inflation)*

*↓  
negative inflation*

$$\text{Labour force} = \text{Employed} + \text{Unemployed}$$

30 The table shows the change in the labour force in Bangladesh between 2006 and 2009.

| group                                            | 2006 (millions) | 2009 (millions) |
|--------------------------------------------------|-----------------|-----------------|
| urban male labour force                          | 8.9             | 9.7             |
| urban female labour force                        | 2.8             | 3.1             |
| <i>City</i> ← <u>total urban labour force</u>    | 11.7            | 12.8            |
| rural male labour force                          | 28.5            | 30.5            |
| rural female labour force                        | 9.3             | 10.4            |
| <i>Village</i> ← <u>total rural labour force</u> | 37.8            | 40.9            |

⇒ More employment in rural agricultural sector!

Which statement is most likely to be consistent with these statistics?

- ✓ **A** Farming is the major employer in the economy.
- B** Male workers are more mobile than female workers. (No)
- C** The absolute increase in the labour force is greater in urban areas than rural areas. (No)
- D** The supply of female workers has fallen. (No)

31 The table shows spending in the leisure sector of a country (\$ billion).

|                             | (\$ billion) |      |      |
|-----------------------------|--------------|------|------|
|                             | 1995         | 1999 | 2005 |
| leisure spending            | 118          | 154  | 198  |
| as a % of total consumption | 27.0         | 27.5 | 28.0 |

What can be concluded from the table?

- A** Leisure spending, in billions of dollars, increased more between 1995–1999 than between 1999–2005.
- B** Leisure spending is growing in line with income growth. (Not given)
- C** Leisure spending increased by an average of \$10 billion a year between 1995–2005.
- ✓ **D** Leisure spending is taking an increasing share of total consumption.

32 Consumer spending increased in 2010.

What other economic indicator is most likely to have increased as a result of the rise in consumer spending?

- A** government budget deficit [Government Expenditure > Tax revenue]
- ✓ **B** inflation [C↑, AD↑, Prices↑]
- C** terms of trade (concept of prices)
- D** unemployment (C↑, AD↑, production↑, Employment↑) (Wrong)

\* Persistent and sustained general fall in the price level (negative inflation) (negative growth)

33 What is deflation?

- ☒ A a falling general price level
  - B a falling wage level
  - C a rising output level
  - D a rising profit level
- No!

34 A developing country's two major sources of income from international trade are fishing and tourism.

X prices ↓, M prices ↑

If the country's exchange rate depreciated, what is likely to happen?

- A Imported goods would become cheaper for local people. (Imported goods will be expensive)
  - B The country would definitely become poorer. (No) [X (TR ↑) → AD ↑]
  - ☒ C The price of fish sold as exports would become cheaper.
  - D Tourists to the country would be discouraged by higher prices.
- No

35 In some developing countries a large percentage of the population is involved in subsistence farming.

It's a self sufficiency farming system in which farmers focus on growing enough food to feed themselves and their entire families. The output is mostly for local requirements with little or no surplus to trade.

- A Each family will be able to produce enough to live on.
- ☒ B Production is unlikely to be capital intensive. ⇒ Yes! (Developing countries)
- C Production will be efficient. (No)
- D There will be a high level of trade. (No)

under 16 years ↓ Over 60 years ↓

36 A country has a falling birth rate and a rising death rate while an increasing number of its working age adults (16-60 years) are seeking employment abroad. [Emigration] [16-60 ↓]

How will this probably affect the numbers in the different age groups in the country?

|                                       | under 16 years | 16-60 years | over 60 years |
|---------------------------------------|----------------|-------------|---------------|
| <input checked="" type="checkbox"/> A | fall           | fall        | fall          |
| B                                     | fall           | rise        | rise          |
| C                                     | rise           | fall        | rise          |
| D                                     | rise           | rise        | fall          |

37 The gap in incomes between rich and poor continues to widen in many countries.

Who would be in absolute poverty?

- A those in the population without any formal employment income (No)
- B those on very low incomes compared with the rest of the population (No)
- C those who live without financial assistance from the government (No)
- ☒ D those with just the minimum level of resources needed to sustain life

38 A country's foreign exchange rate appreciates significantly. [X prices ↑, M prices ↓]

Which group in the country will directly benefit from this change?

- A a government department which only buys locally made goods [No] (As Exported goods will be expensive)
- ☒ B retailers who get all their supplies from foreign producers (M prices ↓, cost ↓)
- C workers in local companies that compete with foreign firms in the local market (No)
- D workers in local companies that sell only in foreign countries (No)

39 Which of the following could not be a reason for imposing tariffs on imported goods? Expenditure switching policy

- A to encourage self sufficiency (Yes)
- ☒ B to lower the general price level within the economy Domestic consumption ↑, CT, AD ↑, prices ↑
- C to protect a growing domestic industry (Yes) (infant industry)
- D to reduce a balance of trade deficit (Yes)

40 Which of the following is an export of Jamaica?

- A a loan to Jamaica by the International Monetary Fund (Financial account)
- ☒ B Jamaican holidays taken by American tourists [Export of services]
- C dividends paid by a company in Jamaica to its American shareholders (Net incomes)
- D sales of Japanese cars in Jamaica (Domestic)